

Outlook

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Follow-up: A defensible value proxy for the planning round

Hi,

This came up in a working session and nobody had the same definition.

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: recurring inflows and product depth identify durable value; some low-volume relationships are strategically valuable because of loan or deposit behaviour; or high activity is being offset by service and fee friction.

The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2022 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is how to segment relationships for planning without pretending the proxy is accounting profit. Please bring a short decision pack with no more than five slides and an attached evidence table, including a few cases we can trace from source to conclusion.

The available evidence is monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Thank you